

What you sell? → Product

How much it costs? → Price

Where will it be sold → Place

How will people know it → Promotion

CHAPTER 3

MARKETING MIX

actions or steps to achieve a goal

The marketing mix refers to a set of tools and tactics that businesses use to promote and sell their products or services in the market. It consists of four key elements, often referred to as the 4Ps: Product, Price, Place, and Promotion. These elements work together to influence consumer decision-making and achieve marketing objectives.

AN OVERVIEW OF 4P'S OF MARKETING MIX

The 4Ps of marketing mix are a fundamental framework used by businesses to formulate and implement effective marketing strategies. Developed by E. Jerome McCarthy in the 1960s, these elements represent the core components that marketers can control to influence consumer behaviour and achieve marketing objectives.

An overview of each of the 4Ps:

Right product, at right price, in right place, with right promotion

1. Product

The product refers to goods or services offered by a company to meet the needs and wants of customers.

- **Product Features:** *Size, colour, design* Attributes that define the product and differentiate it from competitors. (Tangible / Intangible)
- **Quality:** Level of excellence or reliability perceived by consumers.
- **Brand:** Name, design, and reputation that distinguish the product in the market.
- **Packaging:** Physical appearance and design of the product's container or wrapper.
- **Variety:** Range of product offerings to cater to different customer preferences.
- **Support Services:** Additional services like warranties, maintenance, or customer support.

2. Price *(determines the revenue)*

Price refers to the amount customers pay for a product or service, representing the value exchanged between the buyer and the seller.

- **Pricing Strategy:** Determining the initial price and adjusting over time based on market conditions and business objectives.

↓
• cost of production
• Competitors price
• Govt. rules & tax

- ✚ **Pricing Tactics:** Discounts, promotions, bundling, and dynamic pricing strategies to influence consumer purchasing decisions.
- ✚ **Competitive Pricing:** Pricing relative to competitors' offerings to position the product in the market.
- ✚ **Value Perception:** Aligning price with perceived value to attract target customers and maximize profitability.

3. Place (Distribution)

Place refers to the locations and channels through which products are made available to customers.

- ✚ **Distribution Channels:** Direct (manufacturer to consumer) or indirect (manufacturer to retailer to consumer) channels.
- ✚ **Channel Partners:** Relationships with wholesalers, retailers, distributors, and logistics providers.
- ✚ **Market Coverage:** Extent and locations where products are sold, from local to global markets.
- ✚ **Logistics:** Efficient transportation, warehousing, and inventory management to ensure product availability.

4. Promotion *(Supports new product launch)*

Promotion encompasses the activities aimed at communicating the benefits and value of the product to the target audience and persuading them to make a purchase.

- ✚ **Advertising:** Paid communication through various media channels (TV, radio, print, digital) to reach a wide audience.
- ✚ **Sales Promotion:** Short-term incentives such as discounts, coupons, contests, or promotions to stimulate sales.
- ✚ **Public Relations:** Building and maintaining favourable relationships with the public through media relations, events, or sponsorships.
- ✚ **Personal Selling:** Direct communication between sales representatives and potential customers to address specific needs and close sales.
- ✚ **Digital Marketing:** Online strategies including social media, content marketing, SEO, and email marketing to engage and attract customers.



Fig. 3.1- 4P's of Marketing Mix

Integration and Coordination

- **Holistic Approach:** Effective marketing mix management requires alignment and coordination of the 4Ps to create a cohesive and impactful marketing strategy.
- **Market Segmentation:** Tailoring the marketing mix elements to meet the needs and preferences of specific customer segments.
- **Monitoring and Adaptation:** Continuous evaluation of market trends, consumer behaviour, and competitive landscape to adjust the marketing mix for optimal results.

The 4Ps of marketing mix provide a structured framework for businesses to develop and implement comprehensive marketing strategies. By strategically managing Product, Price, Place, and Promotion, companies can enhance customer value, differentiate themselves in the marketplace, and achieve their business objectives effectively.

PRODUCT

In marketing, a product refers to any tangible good, intangible service, or idea that satisfies a consumer's need or desire. It is a core element of the marketing mix and encompasses a range of attributes and characteristics designed to meet specific consumer demands.

A comprehensive overview of what constitutes a product in marketing:

Types of Products

1. Tangible Goods:

physical products that consumers can touch, feel, and use. Examples include smartphones, clothing, cars, and household appliances.

2. Intangible Services:

Non-physical offerings that provide benefits to consumers through skilled labour, expertise, or experiences. Examples include banking services, healthcare, education, and consulting.

3. Ideas and Concepts:

Abstract products that involve beliefs, attitudes, or philosophies. Examples include social campaigns, advocacy programs, and educational initiatives aimed at promoting specific ideas or behaviours.

Key Elements of a Product

1. Core Product:

The fundamental benefit or solution that addresses a consumer's problem or need. For example, a laptop provides the core benefit of computing and connectivity.

2. Actual Product:

The physical attributes, features, and specifications that define the product. This includes design, quality, functionality, size, colour, and packaging.

3. Augmented Product:

Additional features or services that enhance the value of the product and differentiate it from competitors. This may include warranties, customer support, delivery options, installation services, and after-sales support.

Product Attributes and Characteristics

Quality: The level of excellence or superiority perceived by consumers, encompassing reliability, durability, performance, and consistency.

Brand: A name, term, design, symbol, or combination thereof that identifies a seller's product and differentiates it from competitors. Brands evoke emotional and symbolic associations among consumers.

Packaging: The physical container or wrapping that protects and presents the product, influencing perceptions of quality, convenience, and appeal.

Design: The aesthetic and functional characteristics of a product that enhance usability, attractiveness, and user experience.

Features: Specific functionalities and capabilities that address consumer needs and preferences, distinguishing the product from alternatives.

Product Life Cycle

- **Introduction:** Initial launch of the product into the market, focusing on building awareness and attracting early adopters.
- **Growth:** Rapid sales growth as consumer demand increases, supported by marketing efforts to expand market share and distribution.
- **Maturity:** Sales stabilize as the market becomes saturated, requiring competitive differentiation and cost efficiencies to maintain profitability.
- **Decline:** Sales decrease due to changes in consumer preferences, technological advancements, or market saturation, prompting businesses to consider product phase-out or revitalization strategies.

Strategic Considerations in Product Management

- **Product Development:** Research, design, and innovation processes to create new products or improve existing ones based on market trends and consumer insights.
- **Product Positioning:** Determining the unique value proposition and market positioning that differentiate the product from competitors and resonate with target consumers.
- **Product Portfolio Management:** Managing a portfolio of products to balance risk, investment, and growth opportunities across different stages of the product life cycle.
- **Brand Management:** Building and maintaining brand equity through consistent messaging, customer experiences, and brand extensions that reinforce product value and consumer loyalty.

A product is a central component of marketing strategy, encompassing physical attributes, services, and intangible benefits that fulfil consumer needs and aspirations. Successful product management involves understanding market dynamics, consumer preferences, and competitive landscapes to create, position, and sustain products that deliver value and drive business success.

NEW PRODUCT DEVELOPMENT

The stages of new product development (NPD) outline the process through which businesses conceptualize, design, and bring new products or services to the market. This structured approach helps organizations manage risk, allocate

resources efficiently, and maximize the chances of successful product launches.

An introduction to the stages typically involved in new product development:

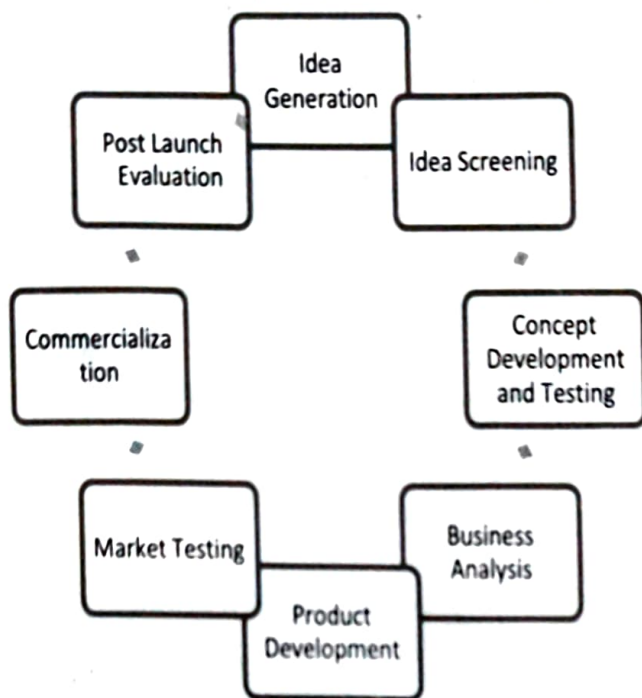


Fig. 3.2- Stages of new product development

1. Idea Generation

Meaning: The initial stage where ideas for new products or enhancements to existing products are generated.

Sources of Ideas:

- ❖ **Internal Sources:** Employees, R&D departments, and brainstorming sessions.
- ❖ **External Sources:** Customers, competitors, market research, and industry trends.

Activities: Idea workshops, brainstorming sessions, market research, and technological innovations.

2. Idea Screening

Meaning: Evaluating and screening ideas to identify those with the most potential for further development.

Criteria for Evaluation:

- ❖ **Market Potential:** Size of the target market, growth prospects, and customer needs.
- ❖ **Feasibility:** Technical feasibility, resources required, and

capabilities to develop the idea.

- ❖ **Fit with Strategic Objectives:** Alignment with company goals, competitive advantage, and market positioning.

Outcome: Selection of promising ideas for detailed analysis and development

3. Concept Development and Testing

Concept Development: Translating selected ideas into detailed product concepts with specific features, benefits, and positioning.

Concept Testing:

- ❖ **Objective:** Assessing consumer reactions to the product concept to validate its appeal and identify potential modifications.

- ❖ **Methods:** Surveys, focus groups, prototypes, and virtual simulations.

Outcome: Refined product concepts that resonate with target customers and address identified needs.

4. Business Analysis

Meaning: Evaluating the financial viability and business potential of the product concept.

Considerations:

- ❖ **Cost Estimation:** Development, production, and marketing costs.
- ❖ **Revenue Projections:** Pricing strategy, sales forecasts, and potential market share.
- ❖ **Risk Assessment:** Market risks, competitive landscape, and regulatory considerations.

Outcome: Go/no-go decision based on the analysis of potential profitability and alignment with strategic goals.

5. Product Development

Meaning: Developing a prototype or physical product based on the finalized concept and specifications.

- ❖ **Design:** Engineering, prototyping, and iterative testing.
- ❖ **Manufacturing:** Establishing production processes, sourcing materials, and quality control.
- ❖ **Compliance:** Meeting regulatory requirements and industry standards.

Outcome: Fully developed product ready for testing and refinement.

6. Market Testing (Test Marketing)

Meaning: Launching the product in a limited market or geographical area to gauge consumer response and gather feedback.

Objectives: ^{measure}

- ❖ Assessing market acceptance, demand, and sales performance.
- ❖ Identifying potential issues and areas for improvement.

Methods: Controlled distribution, promotional campaigns, and customer surveys.

Outcome: Insights to refine the product, marketing strategy, and positioning before full-scale launch.

7. Commercialization

Meaning: Full-scale launch of the product into the market, including production, distribution, and marketing activities.

Activities:

- ❖ **Production Ramp-Up:** Scaling manufacturing, logistics, and supply chain operations.
- ❖ **Marketing Launch:** Advertising, sales promotions, public relations, and digital marketing campaigns.
- ❖ **Distribution:** Retail partnerships, channel management, and logistics optimization.

Outcome: Market entry and product availability to target customers.

8. Post-Launch Evaluation

Meaning: Monitoring and evaluating the product's performance and consumer feedback after its launch.

Metrics:

- ❖ Sales performance, market share, and profitability.
- ❖ Customer satisfaction, reviews, and feedback.
- ❖ Competitive response and market dynamics.

Adjustments: Making necessary adjustments based on evaluation findings to optimize product performance and market success.

The stages of new product development provide a systematic framework for businesses to innovate, create value, and meet evolving consumer needs effectively. By following a structured approach from idea generation to commercialization and beyond, organizations can enhance their product development capabilities, mitigate risks, and improve the likelihood of successful market entry and growth.

PRODUCT LIFE CYCLE

The product life cycle (PLC) is a concept that describes the stages a product goes through from its introduction to withdrawal from the market. Understanding the product life cycle is crucial for businesses to strategize effectively, manage resources, and maximize profitability over time.

An overview of the stages typically involved in the product life cycle:

1. Introduction Stage

Characteristics:

- ✚ **Market Launch:** Product is introduced to the market for the first time.
- ✚ **Sales Growth:** Initial sales are typically slow as awareness builds among consumers.
- ✚ **Profitability:** Usually low or negative due to high development and marketing costs.

Strategies:

- ✓ **Promotion:** Heavy investment in promotion and advertising to create awareness and stimulate demand.
- ✓ **Distribution:** Selective distribution to establish a market presence and gain initial customer acceptance.
- ✓ **Pricing:** Often high to recover development costs and position the product as innovative.

2. Growth Stage

Characteristics:

- ✚ **Sales Growth:** Rapid increase in sales as awareness spreads and market acceptance grows.
- ✚ **Profitability:** Improves due to economies of scale, increased sales volumes, and lower per-unit costs.

- ✓ **Competition:** Competitors may enter the market, intensifying rivalry.

Strategies:

- ✓ **Product Improvement:** Refining product features and adding new variants to meet diverse customer preferences.
- ✓ **Market Expansion:** Increasing distribution channels and entering new geographic markets.
- ✓ **Promotion:** Continued advertising to build brand preference and differentiate from competitors.
- ✓ **Pricing:** May start to decrease to attract price-sensitive customers and gain market share.

3. Maturity Stage

Characteristics:

- ↓ **Sales Growth:** Slows down as the market becomes saturated and reaches its maximum potential.
- ↓ **Profitability:** Peaks or declines slightly due to intense competition and price pressures.
- ↓ **Market Saturation:** Most potential customers have adopted the product, leading to stable demand. (*demand decreases*)

Strategies:

- ✓ **Market Differentiation:** Emphasizing product differentiation and unique selling propositions (USPs) to maintain market share. (*Trying to reduce expenses*)
- ✓ **Cost Efficiency:** Optimizing production costs and supply chain efficiencies to maximize profitability.
- ✓ **Diversification:** Introducing product variations or line extensions to appeal to different market segments.
- ✓ **Promotion:** More emphasis on brand loyalty programs, customer retention strategies, and selective promotional activities.
- ✓ **Pricing:** Adjusting prices to defend market share while managing profit margins.

4. Decline Stage

Characteristics:

- ↓ **Sales Decline:** Demand decreases due to changes in consumer preferences, technological advancements, or new substitutes.
- ↓ **Profitability:** Declines as sales decrease and costs per unit may rise due to reduced economies of scale.
- ↓ **Market Withdrawal:** Some products may be phased out or replaced by newer innovations.

Strategies:

- ✓ **Harvesting:** Scaling back marketing expenses and reducing investment in the product.
- ✓ **Cost Cutting:** Streamlining operations and reducing production costs to maintain profitability.
- ✓ **Product Differentiation:** Focusing on niche markets or loyal customer segments that still value the product.
- ✓ **Discontinuation:** Eventually withdrawing the product from the market if it no longer generates sufficient revenue.

PRODUCT LIFE CYCLE

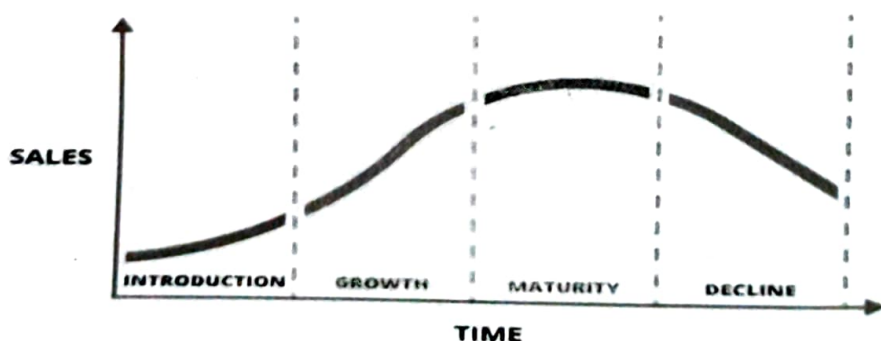


Fig. 3.2- Product Life Cycle

Strategic Implications

- ↓ **Portfolio Management:** Managing a portfolio of products at different stages of the life cycle to balance risk and revenue streams.
- ↓ **Innovation:** Continuously innovating and introducing new products to replace declining ones and sustain growth.

- ✦ **Competitive Positioning:** Adapting marketing strategies and tactics to respond to changes in market dynamics and consumer preferences.

The product life cycle provides a framework for understanding the typical stages that products go through from introduction to decline. By recognizing the characteristics and strategies associated with each stage, businesses can make informed decisions about resource allocation, pricing strategies, promotional efforts, and product development to maximize profitability and maintain competitiveness throughout the product's life span.

PRICING

Pricing is a critical element of the marketing mix and involves determining what customers pay for a product or service. It directly impacts profitability, market positioning, and customer perceptions.

Importance of Pricing

- ✦ **Revenue Generation:** Pricing directly influences revenue and profitability, impacting a company's financial health.
- ✦ **Competitive Advantage:** Proper pricing can differentiate a product or service from competitors, attracting customers based on perceived value.
- ✦ **Market Positioning:** Price serves as a positioning tool, conveying messages about quality, exclusivity, or affordability.
- ✦ **Customer Perception:** Pricing affects how customers perceive a product's value, quality, and brand image.

Factors Influencing Pricing Decisions

- ✦ **Costs:** The cost of production, distribution, and marketing is a fundamental factor in setting prices. Profit margins and break-even analysis help determine the minimum price required.
- ✦ **Demand:** Understanding customer demand elasticity (sensitivity to price changes) influences pricing strategies. High-demand products may support higher prices, while elastic demand products may require lower prices to stimulate sales.
- ✦ **Competitors:** Monitoring competitor pricing strategies and positioning relative to theirs can help businesses set competitive prices or differentiate based on price.
- ✦ **Market Conditions:** Economic factors, market trends, inflation rates, and currency fluctuations can affect pricing decisions.

- ✚ **Perceived Value:** Customer perceptions of a product's value relative to its price heavily influence purchasing decisions. Effective branding and marketing can enhance perceived value.

- ✚ **Legal and Ethical Considerations:** Pricing practices must comply with legal regulations and ethical standards to avoid issues such as price fixing or deceptive pricing.

Pricing Strategies

- ✚ **Skimming Pricing:** Setting a high initial price to capitalize on early adopters willing to pay more, then gradually lowering the price to attract more price-sensitive customers. *Handwritten: Misleading about original price [Long-term benefit]*

- ✚ **Penetration Pricing:** Setting a low initial price to quickly gain market share, aiming to attract a large customer base and discourage competitors.

- ✚ **Competitive Pricing:** Pricing based on competitors' prices, either matching, undercutting, or premium pricing to differentiate based on quality or features.

- ✚ **Value-Based Pricing:** Setting prices based on the perceived value to customers, focusing on the benefits and outcomes the product provides.

- ✚ **Price Bundling:** Offering multiple products or services together at a reduced price compared to buying them separately, encouraging larger purchases.

- ✚ **Psychological Pricing:** Using pricing tactics to influence consumer perception, such as setting prices just below a round number (\$9.99 instead of \$10.00) or emphasizing value with "price anchoring."

Pricing Tactics

- ✚ **Discounts and Rebates:** Temporary price reductions or refunds offered to stimulate sales or reward customer loyalty. *Handwritten: [Short-term benefit]*

- ✚ **Seasonal Pricing:** Adjusting prices based on seasonal demand fluctuations, such as higher prices during peak seasons or discounts during off-seasons.

- ✚ **Dynamic Pricing:** Adjusting prices in real-time based on market demand, competitor pricing, or customer demographics using algorithms and data analytics.

- ✚ **Price Skimming:** Introducing a product at a high price point before gradually lowering it to reach broader market segments.

Effective pricing is crucial for achieving business objectives, maintaining profitability, and satisfying customer expectations. By considering costs, demand, competition, and customer perceptions, businesses can develop pricing strategies that optimize revenue and market positioning while aligning with broader marketing and business goals.

PRICING POLICIES

Pricing policies are guidelines and strategies that businesses develop to determine how they price their products or services. These policies help organizations make consistent and informed pricing decisions that align with their overall business objectives and market conditions.

Types of Pricing Policies

1. Cost-Based Pricing:

- a) **Meaning:** Setting prices based on the costs of producing, distributing, and selling the product, plus a desired profit margin.
- b) **Advantages:** Ensures profitability and covers costs; relatively straightforward to calculate.
- c) **Disadvantages:** Ignores demand and competitive factors; may not reflect perceived value by customers.

2. Market-Based Pricing:

[demand, alternatives available, losses]

- a) **Meaning:** Setting prices based on market conditions, including competitor prices and customer demand.
- b) **Advantages:** Responsive to market dynamics; considers customer perceptions and competitive positioning.
- c) **Disadvantages:** Requires ongoing market analysis; may lead to price wars or reactive pricing strategies.

3. Value-Based Pricing:

- a) **Meaning:** Setting prices based on the perceived value of the product or service to customers.
- b) **Advantages:** Aligns pricing with customer expectations; captures premium for higher value offerings.
- c) **Disadvantages:** Requires deep understanding of customer perceptions; can be challenging to quantify value.

4. Skimming Pricing:

- ✚ **Meaning:** Setting initially high prices to maximize revenue from early adopters and price-sensitive segments.
- ✚ **Advantages:** Captures maximum revenue in the introduction stage; signals product quality or exclusivity.
- ✚ **Disadvantages:** Limits market penetration; may deter price-sensitive customers.

*make someone
decide not to do
something*

5. Penetration Pricing:

- ✚ **Meaning:** Setting low prices to quickly gain market share and attract price-sensitive customers.
- ✚ **Advantages:** Accelerates market adoption; discourages competitors from entering the market.
- ✚ **Disadvantages:** Requires high volume sales to offset low prices; may set expectations for low value.

Elements of Pricing Policies

- ✚ **Price Levels:** Guidelines for setting specific price points or ranges based on the chosen pricing strategy.
- ✚ **Discounts and Allowances:** Policies regarding when and how discounts, promotional pricing, or volume-based pricing adjustments are applied.
- ✚ **Price Changes:** Procedures for managing price adjustments in response to cost fluctuations, market changes, or competitive pressures.
- ✚ **Price Matching:** Policies on matching or undercutting competitor prices to maintain competitiveness.
- ✚ **Geographic Pricing:** Guidelines for adjusting prices based on geographic location, market conditions, or regional economic factors.

Implementation Considerations

- ✚ **Market Research:** Conducting regular market analysis to understand customer preferences, competitive pricing, and economic trends.
- ✚ **Legal and Regulatory Compliance:** Ensuring pricing policies comply with laws and regulations related to pricing practices, antitrust laws, and consumer protection.

- ✦ **Communication:** Clearly communicating pricing policies to internal stakeholders (e.g., sales teams) and external audiences (e.g., customers) to ensure consistency and transparency.

Review and Adaptation

- ✦ **Periodic Review:** Regularly reviewing pricing policies to assess effectiveness, profitability, and alignment with business goals.
- ✦ **Flexibility:** Being prepared to adapt pricing policies in response to changes in market conditions, customer preferences, or competitive landscape.

Effective pricing policies are essential for businesses to navigate competitive markets, maximize profitability, and maintain customer satisfaction. By aligning pricing strategies with overarching business objectives and market realities, organizations can optimize their pricing decisions to achieve sustainable growth and competitive advantage.

PRICING OBJECTIVES

Pricing objectives are specific goals or outcomes that businesses aim to achieve through their pricing strategies. These objectives guide decision-making and help align pricing tactics with broader business goals.

Some common pricing objectives that businesses may pursue are:

1. Profit Maximization

- **Objective:** Setting prices to maximize profits or achieve a specific profit margin.
- **Strategy:** Focus on capturing maximum revenue relative to costs, considering elasticity of demand and competitor pricing.

2. Sales Volume Maximization

- **Objective:** Setting lower prices to maximize the number of units sold.
- **Strategy:** Encourage mass adoption of the product or service, potentially sacrificing per-unit profitability for increased market share.

3. Market Share Leadership

- **Objective:** Setting competitive prices to gain a larger share of the market. *same as competitors, slightly lower, higher but justified*
- **Strategy:** Position prices lower than competitors to attract customers and establish market dominance.

4. Skimming

- **Objective:** Setting high initial prices to "skim" revenue layers from the market.
- **Strategy:** Target early adopters or customers willing to pay a premium for new or innovative products.

5. Penetration

- **Objective:** Setting low prices to quickly penetrate and capture a large market share.
- **Strategy:** Attract price-sensitive customers and build brand loyalty through competitive pricing.

6. Competitive Parity

- **Objective:** Pricing products at similar levels to competitors.
- **Strategy:** Maintain price competitiveness without necessarily leading or following the market, focusing on other competitive advantages.

7. Price Stability

- **Objective:** Maintain consistent prices over time to stabilize customer expectations.
- **Strategy:** Avoid frequent price changes that may confuse or alienate customers, aiming for predictability and reliability.

8. Customer Value-Based Pricing *கருமீட்டரி விலை*

- **Objective:** Aligning prices with the perceived value customers derive from the product or service.
- **Strategy:** Charge higher prices for premium features or benefits that justify higher customer satisfaction and loyalty.

9. Survival

- **Objective:** Setting prices to cover variable costs and ensure business viability. *(Packaging, labour, sales commission)*
- **Strategy:** Focus on short-term profitability and cash flow to sustain operations during challenging economic conditions.

Factors Influencing Pricing Objectives

- **Market Conditions:** Competitive intensity, market demand, and economic factors influence pricing decisions.
- **Product Life Cycle:** Different objectives may be prioritized at each

stage (e.g., skimming in introduction, penetration in growth).

- **Company Goals:** Business strategy, growth targets, and financial objectives shape pricing strategies.
- **Customer Perceptions:** Understanding customer expectations, willingness to pay, and value perceptions informs pricing objectives.

Choosing the right pricing objectives requires a careful assessment of market dynamics, competitive landscape, and organizational goals. By aligning pricing strategies with these objectives, businesses can optimize revenue, profitability, market share, and customer satisfaction effectively. Regular evaluation and adjustment of pricing objectives ensure they remain relevant and supportive of overall business strategies in evolving market environments.

FACTORS INFLUENCING PRICING

Pricing decisions in business are influenced by a variety of factors that collectively impact how products or services are priced to attract customers, ensure profitability, and maintain competitiveness. An overview of the key factors that influence pricing strategies:

1. Cost of Production

- **Direct Costs:** The expenses directly incurred in producing goods or services, including raw materials, labour, and manufacturing overhead.
- **Indirect Costs:** Overhead expenses such as administrative costs, rent, utilities, and depreciation that contribute to the total cost structure.
- **Profit Margin:** Desired profit margin determines the minimum price required to cover costs and generate profit.

2. Market Demand

- **Price Elasticity:** The degree to which demand for a product or service changes in response to price changes.
- **Consumer Perception:** How customers perceive the value of the product relative to its price, influencing their willingness to pay.
- **Customer Segmentation:** Different customer segments may have varying price sensitivities and perceptions of value.

3. Competition

- **Competitive Pricing:** Prices set based on competitor pricing strategies and market positioning.
- **Industry Structure:** Competitive dynamics, number of competitors, and their market shares influence pricing strategies.
- **Substitute Products:** Availability of alternative products or services

total value of all goods and services produced within a country that customers can choose instead, affecting price sensitivity.

4. Economic Factors

- **Inflation:** Rising prices of goods and services impact production costs and pricing decisions.
- **Economic Conditions:** Overall economic health, GDP growth, employment rates, and consumer spending influence pricing strategies.
- **Currency Fluctuations:** Exchange rate changes affect import/export costs and pricing for international markets.

5. Legal and Regulatory Factors [Legal metrology dept.]

- **Price Controls:** Regulations that limit how much businesses can charge for certain goods or services.
- **Antitrust Laws:** Regulations that prevent price fixing, collusion, and unfair competitive practices.
- **Taxation:** Sales taxes, tariffs, and other taxes that affect pricing decisions and final prices to consumers.

6. Brand and Positioning

- **Brand Equity:** Strong brands can command premium prices based on perceived quality, reputation, and customer loyalty.
- **Positioning Strategy:** Pricing strategies aligned with brand positioning as luxury, premium, value-oriented, or economy.

7. Product Life Cycle

- **Introduction Stage:** Prices may be higher to recover development costs and signal innovation or exclusivity.
- **Growth Stage:** Prices can stabilize or decrease slightly to maintain competitiveness and maximize market share.
- **Maturity Stage:** Prices may become more competitive as the market saturates and competition intensifies.
- **Decline Stage:** Prices may decrease to liquidate inventory or maintain profitability before product phase-out.

8. Distribution Channel

- **Channel Margins:** Costs and margins associated with distributors, wholesalers, and retailers influence final retail prices.
- **Channel Strategy:** Pricing strategies may differ based on direct sales, online sales, or through intermediaries.

9. Psychological Factors

- **Price Perception:** Psychological pricing strategies, such as charm pricing (Rs.9.99 vs. Rs.10.00) or prestige pricing, influence consumer perception and buying behaviour.
- **Promotional Pricing:** Temporary discounts, sales promotions, coupons, and rebates that impact consumer behaviour and purchase decisions.

Effective pricing strategies require a thorough consideration of these factors, balancing costs, market dynamics, competitive positioning, and customer preferences. By understanding and leveraging these influences, businesses can develop pricing strategies that optimize revenue, profitability, and market share while maintaining customer satisfaction and loyalty. Regular monitoring and adjustment of pricing strategies in response to changing market conditions and consumer behaviour are essential for long-term success in competitive markets.

KINDS OF PRICING

Pricing strategies can vary widely based on business goals, market conditions, and product positioning. Some common types of pricing strategies that businesses may employ are:

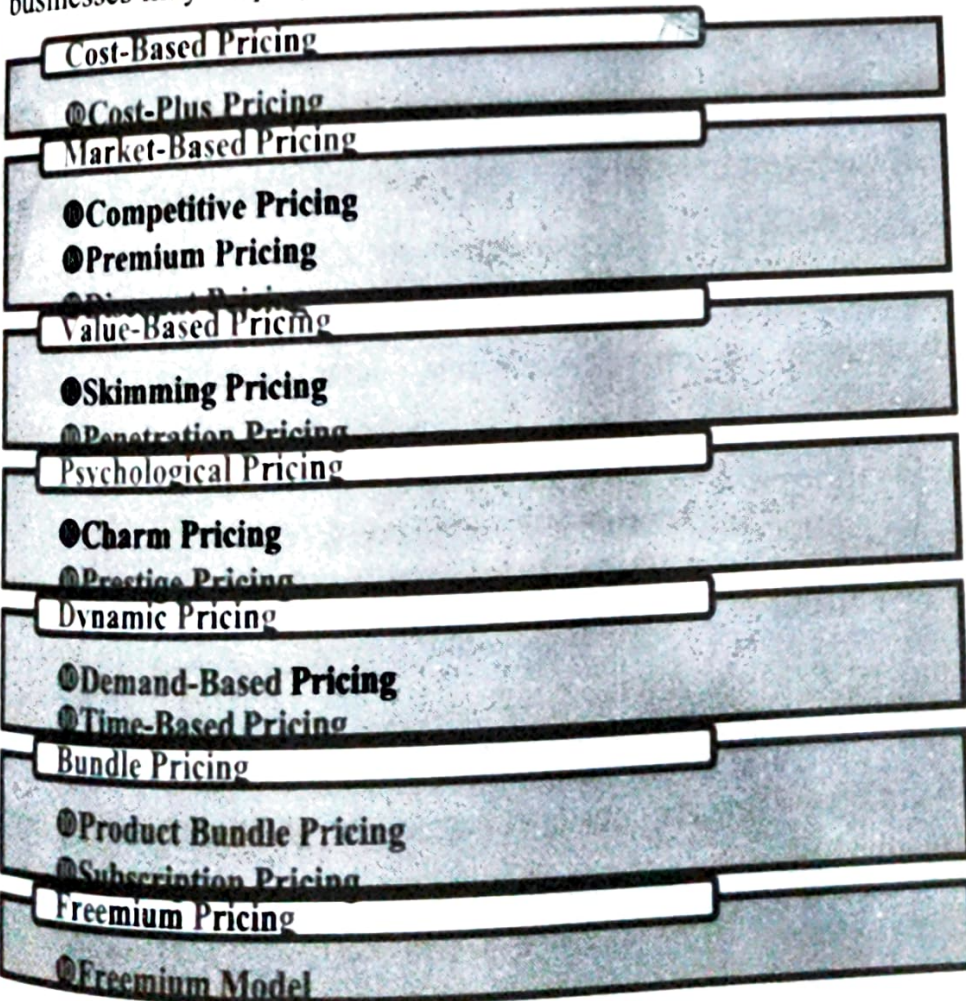


Fig. 3.3- Kinds of Pricing

1. Cost-Based Pricing

- **Cost-Plus Pricing:** Setting prices by adding a markup to the total cost of production.
- ❖ **Advantages:** Simple to calculate, ensures costs are covered, and provides a guaranteed profit margin.
- ❖ **Disadvantages:** Ignores demand and competitive factors, may not reflect perceived customer value.

2. Market-Based Pricing

- **Competitive Pricing:** Setting prices based on competitors' prices.
- ❖ **Advantages:** Helps maintain competitiveness, responds to market dynamics.
- ❖ **Disadvantages:** Ignores customer value perceptions, may lead to price wars.
- **Premium Pricing:** Setting a high price to reflect exclusivity or uniqueness.
- ❖ **Advantages:** Generates high margins, enhances brand image.
- ❖ **Disadvantages:** Limits market size, requires strong differentiation.
- **Discount Pricing:** Offering discounts to stimulate sales or reward customer loyalty.
- ❖ **Advantages:** Attracts price-sensitive customers, boosts short-term sales.
- ❖ **Disadvantages:** Can erode brand value if used excessively, may impact profitability.

3. Value-Based Pricing

- **Skimming Pricing:** Setting a high initial price and lowering it over time.
- ❖ **Advantages:** Captures consumer surplus early, maximizes profit from early adopters.
- ❖ **Disadvantages:** Limits market reach, potential for competitors to undercut.
- **Penetration Pricing:** Setting a low price to quickly gain market share.
- ❖ **Advantages:** Accelerates market adoption, discourages competitors.

- ❖ **Disadvantages:** Requires high volume sales, potential to devalue brand perception.

4. Psychological Pricing

- **Charm Pricing:** Setting prices slightly below a round number (e.g., Rs.9.99).
 - ❖ **Advantages:** Perceived as a better value, encourages impulse buying.
 - ❖ **Disadvantages:** Customers may perceive quality as lower.
- **Prestige Pricing:** Setting prices at a high level to convey exclusivity or luxury.
 - ❖ **Advantages:** Enhances brand image, supports premium positioning.
 - ❖ **Disadvantages:** Limits market size, requires maintaining perceived value.

5. Dynamic Pricing

- **Demand-Based Pricing:** Adjusting prices based on demand fluctuations.
 - ❖ **Advantages:** Maximizes revenue during peak demand, optimizes pricing.
 - ❖ **Disadvantages:** Complex to implement, potential for customer backlash.
- **Time-Based Pricing:** Varying prices by time of day, season, or event.
 - ❖ **Advantages:** Capitalizes on peak demand periods, increases revenue.
 - ❖ **Disadvantages:** Requires accurate forecasting, may confuse customers.

6. Bundle Pricing

- **Product Bundle Pricing:** Selling multiple products together at a lower price than if purchased separately.
 - ❖ **Advantages:** Increases average order value, clears out inventory.
 - ❖ **Disadvantages:** Potential for cannibalization, complex inventory management.

(reduction of sales of a company's own product, if its introduction of another product)
- **Subscription Pricing:** Charging a recurring fee for access to products or services.
 - ❖ **Advantages:** Predictable revenue, builds customer loyalty.

Eg : Netflix, Canva,

- ❖ **Disadvantages:** Customer retention challenges, perceived value fluctuations.

7. Freemium Pricing *Spotify*

- **Freemium Model:** Offering basic services for free while charging for premium features.
- ❖ **Advantages:** Widens customer base, encourages upgrades.
- ❖ **Disadvantages:** Monetization challenges, potential for high churn rate.

Choosing the right pricing strategy depends on factors such as market demand, competitive landscape, product differentiation, and customer perceptions. Businesses often combine different pricing strategies or adjust them over time to adapt to changing market conditions and achieve their strategic objectives effectively. Regular analysis and monitoring of pricing performance are essential for optimizing revenue, profitability, and customer satisfaction in dynamic markets.

SUMMARY

Product:

- **Meaning:** A tangible good, service, or idea that satisfies a consumer's need or want.

Marketing Mix - 4Ps:

- **1. Product:** The physical product or service offered to meet customer needs.
- **2. Price:** The amount customers pay for the product or service.
- **3. Place (Distribution):** Channels and locations through which products are made available to customers.
- **4. Promotion:** Activities that communicate the benefits of the product to target customers.

Stages of New Product Development:

- **Idea Generation:** Generating ideas for new products based on market research and creativity.
- **Idea Screening:** Evaluating ideas to filter out impractical or unfeasible ones.
- **Concept Development and Testing:** Developing product concepts and testing them with target consumers.
- **Business Analysis:** Assessing the potential profitability and feasibility of the product.
- **Product Development:** Designing and developing the product prototype.

- **Market Testing:** Testing the product in a controlled market environment.
- **Commercialization:** Launching the product into the market.

Product Life Cycle (PLC):

- **Introduction:** Launching the product into the market.
- **Growth:** Rapid sales growth as awareness increases.
- **Maturity:** Sales peak and stabilize; competition intensifies.
- **Decline:** Sales decrease due to market saturation or changing consumer preferences.

Pricing:

- **Meaning:**
 - ❖ Setting a value or monetary worth for a product or service.

Pricing Policies:

- **Meaning:**
 - ❖ Guidelines and principles used by a company to determine pricing strategies.

Pricing Objectives:

- **Profit Maximization:** Setting prices to maximize profit margins.
- **Sales Maximization:** Setting lower prices to increase sales volume.
- **Market Share Leadership:** Pricing to gain a larger market share.
- **Survival:** Setting prices to cover costs and survive in the market.

Factors Influencing Pricing:

- **Costs, Competition, Demand, Brand Image, and Economic Conditions.**

Kinds of Pricing:

- **Cost-based Pricing:** Setting prices based on production costs and desired profit margins.
- **Competition-based Pricing:** Setting prices in line with competitors' prices.
- **Value-based Pricing:** Setting prices based on the perceived value to customers.
- **Skimming Pricing:** Setting high prices initially and lowering over time.
- **Penetration Pricing:** Setting low prices initially to gain market share quickly.

LIST OF ABBREVIATIONS

- ✚ 4Ps - Product, Price, Place, Promotion
- ✚ AIDA - Attention, Interest, Desire, Action
- ✚ ATL - Above the Line
- ✚ B2B - Business to Business
- ✚ B2G - Business to Government
- ✚ BTL - Below the Line
- ✚ CAGR - Compound Annual Growth Rate
- ✚ CLV - Customer Lifetime Value
- ✚ CPC - Cost Per Click
- ✚ CPM - Cost Per Thousand Impressions
- ✚ CSR - Corporate Social Responsibility
- ✚ FIFO - First In, First Out
- ✚ KPI - Key Performance Indicator
- ✚ LIFO - Last In, First Out
- ✚ MRP - Manufacturer's Recommended Price
- ✚ NPD - New Product Development
- ✚ PLC - Product Life Cycle
- ✚ POS - Point of Sale
- ✚ PPC - Pay Per Click
- ✚ PR - Public Relations
- ✚ R&D - Research and Development
- ✚ ROI - Return on Investment
- ✚ SEO - Search Engine Optimization
- ✚ SKU - Stock Keeping Unit
- ✚ SRP - Suggested Retail Price
- ✚ SWOT - Strengths, Weaknesses, Opportunities, Threats
- ✚ TTL - Through The Line
- ✚ USP - Unique Selling Proposition

SNAPSHOT

What is the Marketing Mix?

The Marketing Mix, known as the 4P's, includes Product, Price, Place, and Promotion. It's a set of marketing tools used to achieve marketing objectives.

Overview of the 4P's of Marketing Mix

The 4P's are Product (what you sell), Price (how much you charge), Place (where you sell), and Promotion (how you advertise).

Stages of New Product Development

The stages include idea generation, idea screening, concept development, business analysis, product development, test marketing, and commercialization.

What is the Product Life Cycle?

The Product Life Cycle has four stages: introduction, growth, maturity, and decline. Each stage requires different marketing strategies.

Introduction to Pricing

Pricing involves setting a price for a product or service, taking into account various factors to balance profitability and customer value.

Pricing Policies

Pricing policies are strategies used to set the price of a product, such as cost-plus pricing, competitive pricing, and value-based pricing.

Objectives of Pricing

Objectives of pricing include maximizing profits, increasing market share, achieving a target return on investment, and maintaining market stability.

Factors Influencing Pricing

Factors include production costs, competition, consumer demand, market conditions, and overall business strategy.

Kinds of Pricing

Types of pricing include penetration pricing, skimming pricing, competition-based pricing, value-based pricing, and psychological pricing.

POINTS TO PONDER

One-word or short-phrase answers:

1. **Marketing Mix:** 4P's (Product, Price, Place, Promotion)
2. **4P's Overview:** Product, Price, Place, Promotion
3. **New Product Development:** Idea to commercialization stages
4. **Product Life Cycle:** Introduction, growth, maturity, decline
5. **Pricing:** Setting product/service price
6. **Pricing Policies:** Cost-plus, competitive, value-based
7. **Pricing Objectives:** Profit, market share, ROI
8. **Pricing Factors:** Costs, competition, demand
9. **Pricing Types:** Penetration, skimming, competition-based

MCQs

1. Which of the following is NOT one of the 4Ps of the Marketing Mix?
A) Product
B) Price
C) Place
D) Promotion
E) **Production**
2. What does the 'Product' element of the Marketing Mix include?
A) The cost to produce the item
B) The distribution channels used to deliver the item
C) **The features, design, and quality of the item**
D) The promotional activities for the item
3. Which stage of new product development involves generating a large number of ideas to find the best one?
A) Idea Screening

- B) Concept Development
- C) Idea Generation**
- D) Market Testing

4. At which stage of new product development is a prototype created?

- A) Concept Testing
- B) Business Analysis
- C) Product Development**
- D) Commercialization

5. During which stage of the Product Life Cycle do sales typically grow rapidly?

- A) Introduction
- B) Growth**
- C) Maturity
- D) Decline

6. What is the focus of marketing strategy during the 'Maturity' stage of the Product Life Cycle?

- A) Developing new product features
- B) Increasing market share and defending against competition**
- C) Introducing the product to the market
- D) Phasing out the product

7. Which pricing objective aims to achieve the highest possible market share?

- A) Profit Maximization
- B) Market Penetration**
- C) Skimming
- D) Cost-Plus Pricing

8. What type of pricing strategy involves setting a high price initially and then gradually lowering it over time?

- A) Penetration Pricing
- B) Skimming Pricing**
- C) Competitive Pricing
- D) Psychological Pricing

9. Which of the following factors does NOT influence pricing decisions?

- A) Production Costs
- B) Consumer Preferences
- C) Government Regulations
- D) Employee Satisfaction**

10. What is 'Cost-Plus Pricing'?

- A) Setting prices based on competitors' prices
- B) Setting prices based on the cost of production plus a fixed profit margin**
- C) Setting prices based on consumer demand
- D) Setting prices based on perceived value

Section B Questions

1. Define the 4Ps of the marketing mix and provide a brief explanation of each.
2. List and describe the stages involved in the new product development process.
3. What are the stages of the product life cycle and what are the key characteristics of each stage?
4. Explain what is meant by pricing policies and name one common pricing policy used by businesses.
5. Identify and explain two common pricing objectives that businesses may set.
6. What are some factors that can influence a company's pricing decisions?